

IRB Infrastructure Developers Ltd. (IRB)

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Call: May 2023

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IRB Infrastructure Developers Limited

Q4 & FY23 Earnings Conference Call

May 19, 2023

Moderator: Good evening ladies and gentlemen, welcome to the IRB Infrastructure Developers conference call for discussing the financial results for the quarter ended March 31, 2023 and financial year ended March 31, 2023 along with recent developments. We have with us on the call today Mr. Virendra Mhaikar, Mr. Anil Yadav, Mr. Mehul Patel, and Mr. Tushar Kawedia.

As a reminder, all the participants' lines will be in the listen-only mode, and after the opening remarks by the management, there will be a question & answer session. Please note that the duration of the call would be 45 minutes and any queries left unanswered after the call can be subsequently mailed to the management for adequate response and resolution. Please note that this conference is being recorded.

I now request Mr. Anil Yadav to give you an overview of the significant developments during the quarter. Thank you and over to you, sir.

Anil Yadav: Good evening everyone. I welcome all the investors and analysts on the quarterly conference call. Hope you all have been able to go through our detailed numbers as well as presentation release. We are pleased to inform you that our private InvIT has been listed on NSE on April 3, 2023 in line with the SEBI InvIT regulation which requires listing of all InvITs. On the day of listing, the trust has 10 assets spread across 7 states of India and having a balance average concession life of around 21 years and with total enterprise value of more than Rs. 28,000 crores and equity value of more than Rs. 18,000 crores. The IRB Group has now listed the 3rd entity, i.e., IRB Infrastructure Trust. The combined market cap of all the three entities is more than Rs. 38,000 crores and gross debt for all the three entities is less than Rs. 26,000 crores. The implied debt to equity ratio for the group is very low, i.e., less than 0.7x on gross debt level. This means that IRB Group is well capitalized to grow strongly from hereon by undertaking the large-size projects.

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The traffic momentum continues - Mumbai -Pune reports 16% growth for FY23 as compared to FY22 without any tariff revision. Ahmedabad -Vadodara reports 23% growth for FY23 as compared to FY22.

We have also witnessed a robust growth in the private InvIT. Private InvIT portfolio grows at 70% in terms of toll revenue for FY23 as compared to FY22. Recently, we have bagged two projects, i.e., one upgradation of 6-laning of NH27 from Samakhiali to Santalpur having a project cost of Rs. 2,132 crores and concession life of 20 years on BOT basis from NHAI in the state of Gujarat. The project will be funded by debt of approximately of Rs. 1,400 crores and balance through equity and internal accruals (IRB's share of equity is less than Rs. 350 crores).

And the second project is in the state of Telangana. It's an 8-lane highway, Hyderabad ORR project, starting at kilometer 0 at Narsingi junction and ending at kilometer 158 at Gachibowli in Hyderabad, in the state of Telangana on upfront payment of Rs. 7,380 crores for a concession period of 30 years. The total CapEx will be around Rs. 8,400 crores which will be funded by debt of Rs. 5,400 crores and balance through equity of Rs. 3,000 crores (IRB's share will be close to Rs. 1,500 crores).

The total order book of the company now stands at Rs. 20,500 crores. EPC order book is close to Rs. 9,000 crores providing good revenue visibility for the next 3 years for construction segment and further bolstered by a 3 years' executable O&M order which is close to Rs. 2,000 crores. This excludes the order book for Hyderabad ORR project. Hyderabad ORR project will add EPC of Rs. 450+ crores and O&M order book of Rs. 14,500 crores. TOT project not only provides a visibility for toll revenue but also significant long-duration O&M

order book which provides visibility for construction revenue as well.

Including the Hyderabad ORR project, now our O&M order book is more than Rs. 25,000 crores.

As per dividend policy of the company, the Board has declared second interim dividend of 7.5% on face value of equity share Rs. 1 each making aggregate

dividend payout for the current financial, i.e., FY23 of Rs. 120 crores.

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Now, I will request Shri. Tushar to provide the financial analysis for March 31, 2023. Over to you, Tushar.

Tushar Kawedia: I will brief you about the financial analysis for Q4 FY23 versus Q4 FY22.

The total consolidated income for Q4 FY23 has increased to Rs. 1,699 crores from Rs. 1,683 crores, an increase by 1% over Q4 FY22. For the previous year FY22 in the 4th quarter, we had a one-time income of claim for Goa project.

Hence the numbers are not comparable.

The consolidated toll revenues for Q4 FY23 have increased to Rs. 547 crores from Rs. 510 crores in Q4FY22, an increase by 7%.

The consolidated construction revenues for Q4 FY23 has decreased to Rs. 1,151 crores from Rs. 1,173 crores in Q4FY22, a decrease by 2%.

EBITDA for Q4 FY23 decreased to Rs. 838 crores from Rs. 891 crores in Q4FY22, a decline by 6%.

Interest cost has decreased to Rs. 373 crores in Q4 FY23 from Rs. 399 crores in Q4FY22, down by 6%.

Depreciation has increased to Rs. 222 crores in Q4 FY23 from Rs. 189 crores in Q4FY22, an increase by 18%.

PBT has decreased to Rs. 242 crores in Q4 FY23 from Rs. 303 crores in Q4FY22, down by 20%.

PAT before share of JV decreased to Rs. 167 crores in Q4 FY 23 from Rs. 235 crores in Q4 FY22.

PAT after share from JV has decreased to Rs. 130 crores in Q4 FY23 from Rs. 175 crores in Q4 FY22, a decline by 25%.

Cash profit has decreased to Rs. 389 crores in Q4 FY23 from Rs. 424 crores in Q4 FY22, a decrease by 8%.

Now, I request the moderator to open the session for questions and answers.

Moderator: We will now begin the question & answer session. We will wait for a moment while the question queue assembles.

The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Sir, I just had a couple of questions. The first is, the loss at the JV level has increased quite substantially if we look at that compared to the last few

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quarters. Just some views there. Because, what we were of the impression that it would be at the stable level going ahead.

Management : Alok, Revenue share started in Kishangarh -Gulabpura and Hapur -Moradabad projects in this quarter. In the last quarter, the loss from JV was Rs. 12 crores.

In this quarter, it has increased to Rs. 37 crores. It means an increase of Rs. 25 crores. And since our share is only 51%, it means the revenue share number is close to Rs. 50 crores for the aforesaid project. As we move to FY24, we have got tariff revision of 5% and also if we expect 5% to 6% kind of traffic growth, then around 10% revenue growth expected in FY24. Considering the last quarter's toll collection was Rs. 565 crores, if we annualize that number, that reaches to close to Rs. 2,300 crores of revenue. 10% of that will be roughly Rs. 230 crores. Whatever impact of revenue share is coming in this quarter, that will get negated by growth in the next financial year.

Alok Deora: What's the run rate we should work with for this.... If I take FY24, how much would this number look like?

Management : For the entire financial year, it should be in the range of Rs. 50 crores to Rs. 60 crores of loss for the next financial year.

Alok Deora: Also just wanted to understand, with the increased WPI, there was a toll price change expected from April 1st for many projects. Have we undertaken that? If you can throw some light on that.

Management : December WPI was close to 4.95% and we have got almost 5% tariff revision in line with the WPI. On Mumbai -Pune

Expressway, we got an 18% increase; on NH4, we got a 16% tariff increase.

Alok Deora: All this will come from April onwards?

Management : Yes, 1st April.

Alok Deora: Just one last question from my side. Now, what's the ordering scenario?

Because, this year what we understand is due to the election year, the ordering will be there for the first 8-9 months and then it will dry out. Since we have got

a very decent order book, how are we approaching it? And also if you could throw some light that how are the BOT toll projects coming up if at all because

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what we have been anticipating BOT toll projects have not been so much also in the overall NHAI awarding. So, just your views on that, sir.

Management : Our stance continues the same as it was and the priorities will remain BOT, TOT, and HAM in that order. As you know, we have already bagged one large TOT. There are a couple of more TOTs coming up. We are looking at participating in those. At the same time, we expect the BOT pipeline to shape up well. I am sure you would have come across several articles on the piling up of NHAI debt that have been coming around in the last 1 week. And we sincerely feel that there would be an uptick on the BOT ordering. Nevertheless, TOTs with sound CapEx are also something which we can alternatively look at and that is the strategy we will adopt to ensure a good order book intake and good portfolio building exercise.

Alok Deora: For this year, how much order inflow we are targeting?

Management : The way we look at growing the business is a combination of what we can execute and how much capital can we invest. From the investment perspective, we certainly can add another Rs. 10,000 crores worth of assets in the coming year. Whether the asset is in the BOT side or TOT side is something which will be decided basis what comes up for bidding, but certainly the appetite with the company to grow at this pace remains intact after taking into consideration the Hyderabad TOT CapEx.

Alok Deora: One last thing. The Ganga Expressway construction has started. What kind of revenues we would be seeing in FY24 from this particular project?

Management : A run rate of at least a minimum of Rs. 500 crores per quarter taking it to Rs. 2,000 crores to Rs. 2,200 crores for FY24.

Alok Deora: In this HAM project, there were discussions going on about 20% equity by the authorities. Any update on that, sir? Because, actually there is no update we have got from anywhere. If you can just provide any update if that is happening or not happening or....

Management : We haven't heard about that particular initiative as yet.

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Moderator: The next question is from the line of Nikhil Kanodia from HDFC Securities. Please go ahead.

Nikhil Kanodia: My first set of questions are based on the guidance. If you can throw some light on the FY24 revenue margin and CapEx guidance and also the equity infusion that we are planning to do in the coming years?

Management : Nikhil, on the next year plan, we are envisaging a contract revenue somewhere between Rs. 4,900 crores to Rs. 5,000 crores, which is almost 10% to 15% up compared to our FY23 numbers. We are expecting stable margins between 23% to 25%. On Toll Income side, Mumbai -Pune has received a 18% tariff hike and the Ahmedabad -Vadodara had 5%. So, a traffic growth of somewhere around 5% to 7% for Mumbai -Pune and similar for AV. The gross toll collection what we are expecting is around 20% to 25% higher than what we have achieved for FY23.

Nikhil Kanodia: What would be the CapEx that you are planning to do in the coming years?

Management : Equity requirement for the next year for us with the existing project is Rs. 1,000 crores for FY24 and another Rs. 250 crores for the next year. This is for the ongoing projects with us. This includes the Samakhiali project also.

Nikhil Kanodia: With the recent win of the ORR

project, going ahead, 1) What is the bid pattern? 2) What sort of projects that we have a chance of winning? 3) The debt numbers would have already gone up. So, what is the leverage that we can take going ahead in the future and the size of the projects that can be won?

Management : I think we need to be seeing the fact that these projects will be executed through the private InvIT platform. 1) Firstly, this debt will not consolidate in the IRB debt. 2) If you look at the equity value of the private InvIT, it stands at around Rs. 17,500 crores. And the debt there is hardly Rs. 10,000 crores. So, we can certainly grow faster in CapEx-heavy projects going forward. We have enough legroom there to grow the asset base.

Nikhil Kanodia: Sir, the leverage on the private InvIT is similar to what we can take in the public InvIT as per the SEBI guidelines?

Management : In fact, we can go higher there, up to 70%.

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Moderator: We have a follow-up question from the line of Nikhil Kanodia from HDFC.

Please go ahead.

Nikhil Kanodia: Sir, in the guidance front, on the order inflow, I guess I missed the number.

Can you please repeat the order inflow guidance for the next year?

Management : On the order inflow, as I said, from a CapEx side, we would target somewhere close to Rs. 10,000 crores. I am not saying whether this will be construction CapEx or TOT or a combination of TOT and BOT but we look at two parameters when we look at incremental order intake that as I said, one is the execution capacity on the construction side and the capacity to infuse the required equity into these projects. The range which we feel we can certainly take in for the upcoming year is around Rs. 10,000 crores. It can be a combination of a BOT and TOT or a TOT and HAM the way the opportunities make themselves available.

Nikhil Kanodia: And sir, the recent ORR project, I guess it is routed through the private InvIT. Have we also received the GIC share of equity infusion in the project?

Management : I think as we clearly have a policy, we endeavor to execute this project through private InvIT, and as soon as we have achieved the financial closure, we would announce the same. We have 120 days to announce the financial closure for the project.

Nikhil Kanodia: Do we have any outstanding credit rating on the project as of now, be it in the provisional or on the actual debt numbers?

Management : For the ORR you mean?

Nikhil Kanodia: That's correct, sir.

Management : For ORR, we are working with the credit rating agency. All of the funding details and the credit rating and how it is going to fit in the overall scheme of things, we will come out with a detailed presentation on SPV.

Nikhil Kanodia: You mean as on date, we don't even have any provision rating on the project, right?

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Management : The concession agreement is yet to be signed.

Moderator: The next question is from the line of Teena Virmani from Kotak Institutional Equities. Please go ahead.

Teena Virmani: My question is regarding the equity investment breakup that you have shared; Rs. 1,000 crores for FY24 and Rs. 250 crores for FY25. Does this include the Hyderabad TOT?

Management : No, it doesn't include the Hyderabad equity.

Teena Virmani: So, including that, that would be somewhere around Rs. 1,500 crores upfront for FY24? This will have to be put entirely altogether?

Management : Yes, that's correct.

Teena Virmani: So, effectively, it will be Rs. 2,500 crores for FY24 equity investment?

Management : Yes, that's right.

Teena Virmani: And Rs. 250 crores for FY25 based on the current set of portfolio of projects?

Management : Yes.

Teena Virmani: For meeting this Rs. 2,500 crores of equity requirement, how would that happen? Because, these are the investments which would have to be routed by a core company.

Management : Right.

Teena Virmani: So, how would the funding for this

entire Rs. 2,500 crores work out?

Management : We have a good amount of cash on hand plus the cash will be generated during the upcoming financial year. A combination of that plus a part of the equity will be coming from the private InvIT side. All put together, we should very comfortably be able to meet this target.

Teena Virmani: Rs. 1,000 crores are IRB share, not the entire equity. Rs. 1,000 crores for FY24 excluding Hyderabad TOT?

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Management : Yes. IRB share excluding ORR is Rs. 1,000 crores and as you rightly said, the Hyderabad number would be in the range of around Rs. 1,500 crores. All put together, Rs. 2,500 crores is the equity commitment that we have on hand for FY24. We are very confident to meet that, we have a plan in place, and we will discuss the details once we have achieved the SPV.

Moderator: The next question is from the line of Nikhil Abhyankar from ICICI Securities.

Please go ahead.

Nikhil Abhyankar: Just a single question, sir. Our toll collections through the private InvIT have been increasing significantly in FY23. Is there any chance of higher dividend payouts in this year and if there is, then can you just quantify that?

Management : We are working on those. You are right that the collections are improving extremely well and there would be a good amount of distribution that should become feasible. At the moment, we would not like to give any specific guidance on that aspect, but your thoughts are rightly placed and that also would come in handy to meet the overall equity requirement.

Nikhil Abhyankar: So, they will be basically used to fund the equity requirement.

Management : Equity requirement for the IRB CapEx.

Moderator: The next question is from the line of Vivek Surekha, an individual investor. Please go ahead.

Vivek Surekha: Sir, my question is on our HAM project. Can you give any guidance on monetization of assets? What I understand when last time you mentioned, we would be moving this.

Management : IRB now has 3 HAM projects which are under various stages of development. As per our stated policy, once we complete the projects and they become eligible for transfer, we will certainly be offering them for sale to either public InvIT or any other investor who is interested to buy it.

Vivek Surekha: So, can we expect any monetization in the balance sheet in '24?

Management : No, I don't think we will be eligible for the same.

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Moderator: There are no further questions. I now hand the conference over to Mr. Mhaikar for closing comments.

Virendra Mhaikar: Thank you everyone for being on this call. It had been a great year gone by and we look forward to a more engrossing year going forward in terms of growth and look forward to meeting you all again on the first quarter results. Thank you and have a great evening.

Moderator: Ladies and gentlemen, this concludes the conference for today. We thank you for your participation and for using Researchbyte's Conferencing Services. You may please disconnect your lines.

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IRB Infrastructure Developers Limited

Q1 FY24 Earnings Conference Call

August 1, 2023

Moderator: Good morning, ladies and gentlemen, and welcome to IRB Infrastructure Developers Conference Call for Discussing the Financial Results for the Quarter -ended June 30, 2023 Along With Recent Developments. We have with us on the call today, Mr. Virendra Mhaikar; Mr. Dhananjay Joshi; Mr. Sudhir Hoshing; Mr. Anil Yadav; Mr. Mehul Patel; Mr. Tushar Kawedia; Mr. R.S. Sharma and Mr. Amitabh Murarka. As a reminder, all participant lines will be in the listen -only mode, and after the opening remarks by the management, there will be a question -and-answer session. Please note that the duration of the call would be 45 minutes and any queries left unanswered after the call can be subsequently mailed to the management for adequate response and resolution. Please note that this conference is being recorded. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. I now request Mr. Yadav to give you an Overview of the Significant Developments during the Quarter. Thank you. And over to you, sir.

Anil Yadav: Good morning, everyone. I welcome all the investors and analysts to our earning call for Q1 of financial year 24. Hope you all have been able to go through our detailed number as well as the presentation which were released yesterday.

I briefly cover the key highlights for the quarter.

We are pleased to inform that IRB Golconda Expressway Private Limited, the SPV incorporated to implement the prestigious Hyderabad Outer Ring Road Project, has now executed Concession Agreement with Hyderabad Metropolitan Development Authority (HMDA) for the project of Tolling, Operation, Maintenance & Transfer (TOT) of Nehru Outer Ring Road (from Km 0+000 to Km 158+000) in Hyderabad, Telangana. The Financial closure for the project is in an advanced stage.

The Samakhiyali Tollway Private Limited, a wholly -owned subsidiary of the Company, has also executed the Concession Agreement with NHAI for the project comprising Upgradation to Six Lane with paved Shoulder of NH -27

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from Samakhiyali to Santalpur section in Gujarat. Financial closure for the project is expected soon.

Recently, the Investment Manager of the Private InvIT has taken definitive steps to issue units aggregating up to Rs. 28,619.50 Million by way of a rights issue. The proceeds of this issue will be utilised for infusing Equity in Hyderabad ORR project.

We anticipate that both of these projects, 1 BOT and 1 TOT, will commence during the second quarter. These will meaningfully contribute to the construction vertical as well as to Toll Revenue and the full impact will be visible from Q3 onwards. Further, as you are aware that the second half of the year is normally more robust than the first half in terms of both EPC as well as Toll revenues.

The Meerut Budaun Expressway Limited ("MBEL") i.e. Ganga Expressway Project SPV has allotted NCDs aggregating to INR 541.65 Crore on a private placement basis to the Company and to GIC affiliates as part of equity for the project. The Company and GIC affiliates have contributed INR 276.24 Crore and INR 265.41 Crore respectively. The construction activities are progressing well on this project.

Toll assets in IRB, witnessed growth of 15% year on year in toll revenues in Q1FY24 as compared to Q1FY23. The lower traffic growth is on account of construction activity on Mumbai Pune expressway and temporary closure of connector road i.e. Mumbra bypass which acts as feeder route for NH4.

For the assets of the Private InvIT, we have witnessed stronger growth in toll revenues which were higher by 22% in Q1FY24 as compared to Q1FY23.

We envisage continued strong growth for all assets across our portfolio.

The total order book of the company now stands at ~Rs. 33,700 Crs. Withi

n

this, the EPC order book is at ~ Rs. 8,500 crores providing good revenue

visibility for 2 to 3 years for the construction segment further bolstered by three years executable O&M order book of close to Rs.2,500 to 3,000 crores.

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The strong order book position provides high visibility for the construction segment and is supported by favorable trends in toll revenues. Added to this, the commencement of recent project wins, viz. Hyderabad ORR TOT and SS BOT which are set to contribute meaningfully to both segments shortly. These factors give us confidence for a healthy performance in Q3 and Q4 of this financial year.

Q1FY24 is not comparable with Q1FY23, due on one time impact of claim income on account of Amritsar Pathankot of Rs.418 crores in Q1FY23. This led higher Revenue to the extent of Rs.418 crores, EBITDA by Rs.373 crores and PAT by Rs.279 crores.

Now, I will request Tushar to cover the financial highlights for Q1FY24. Over to you Tushar.

Tushar Kawedia: Thank you, sir. Now I'll take you through the Financial Analysis of Q1 FY24 versus Q1 FY23. The total consolidated income for Q1 FY24 has decreased to Rs.1,745 crores from Rs.1,995 crores for Q1 FY23, decreased by 13%. After adjusting the one-time income, the consolidated income for Q1 FY24 has increased to Rs.1,745 crores from Rs.1,578 crores increased by 11%. The consolidated toll revenues for Q1 FY24 have increased to Rs.613 crores from Rs.527 crores, an increase by 16%. The consolidated construction revenue for Q1 FY24 has reached to Rs.1,133 crores from Rs.1,468 crores, a decrease by 23%. After adjusting one-time income, the total construction income for Q1 FY24 has increased to Rs.1,133 crores from Rs.1,050 crores, an increase by 8%. EBITDA for Q1 FY24 decreased to Rs.889 crores from Rs.1,131 crores, a decline of 21%. After adjusting one-time income, EBITDA for Q1 FY24 has increased to Rs.889 crores from Rs.759 crores, an increase by 17%. Interest cost has slightly decreased to Rs.381 crores in Q1 FY24 from Rs.385 crores, down by 1%. Depreciation has increased to Rs.237 crores in Q1 FY24 from Rs.203 crores in Q1 FY23, increase by 17%. PBT has decreased to Rs.271 crores in Q1 FY24 from Rs.543 crores in Q1 FY23, down by 50%. After adjusting one-time income, PBT for Q1 FY24 has increased to Rs.271 crores from Rs.171 crores, increase of 59%. PAT after share of JV has decreased to Rs.134 crores in Q1 FY24 from Rs.363 crores in Q1 FY23, a decline of 63%.

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After adjusting one-time income, the PAT after share from JV loss for Q1 FY24 has increased to Rs.134 crores from Rs.84 crores, an increase of 59%.

Now, I request moderator to open the session for question-and-answer.

Moderator: We'll now begin the question-and-answer session. The first question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Just some color on the order pipeline now. So, what's the outlook for this year considering we have this upcoming election, so any guidance on the order inflow target for this year? And also which kind of projects we are looking at to be bid out in this financial year?

Management: Good morning, Alok. I think you touched upon a very important point. When it comes to the order intake, our preference will continue to be BOT, TOT, HAM in that order. At the moment, the order book seems to be quite robust and has a good visibility of next two years given the construction order book of almost Rs.8,500 crores and another Rs.3,000 crores of the O&M order book that would be executed. The focus of the company certainly is to establish a more robust and a stable order book which will emanate out of TOT project, because that order book will have a much longer shelf life and also better margin. So, keeping that in mind, as I said, the focus will be the BOT, TOT and HAM in that order. Coming to the order possibility, I think at

the moment

NHAI has talked about 6,000 kilometers of order outflow for the whole year. NHAI have also talked about monetizing almost 46 packages on TOT basis, list of the same is on their website spread across more than 2,600 kms which would continue to be a part of interest to us. I think given the well capitalized balance sheet, we would like to put more resources to work and establish a good portfolio of revenue generating asset and also thereby generating good amount of order book for construction vertical.

Alok Deora: So, any broad number we are looking at for order inflows?

Management : So, I think the way we always do that is try to build back order books at least 20% higher than what we will be burning out in the present financial year. So, at least 5,000 to 6,000 crores of order intake is what we would like to build back, assuming 80% of that will be a burn rate for the present year.

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Alok Deora : And also this new project we are expecting it to start from Q2, but typically we have seen during the monsoon period, projects don't really get started. So, there is a chance of any slippage there and these certain new projects getting started on time.

Management : One is a TOT project. So, there is not much CAPEX as such involved. So, it's more of achieving the financial closure and taking over the project. And even the other project, Samakhiali -Santalpur is also a four to six lane project where the toll revenue is to come from day one, and it is an operational, is to be upgraded. It's not a HAM project with a Greenfield kind of nature where you have to wait for that acquisition and monsoon to recede. These packages, our sense is that they are something which can be tackled immediately upon achieving the financial closure.

Alok Deora : So, what kind of growth we are now looking at after this, some of these new projects are also getting into the execution side, so what construction growth we are looking at for this in financial year and next financial year?

Management : I think the construction vertical should continue to grow at around 15% CAGR rate that we have been able to maintain over last 15 years.

Moderator: Next question is from the line of Aditya Mongia from Kotak Securities . Please go ahead.

Aditya Mongia : My first question is related more to the private InvIT. It would be useful to get some sense on a full year basis last year as well as Q1 . What would be the aggregate numbers of, let's say revenue, EBITDA and net debt? The endeavor is to understand the pace at which cash flows can be generated from that portfolio for the parent?

Management : Private InvIT is doing a revenue of roughly Rs.200 crores on a monthly basis, and on a full year basis, we are expecting toll revenue around 2,500 to 2,600 crores from the current 10 assets and roughly 700 -odd crores will be revenue share, then around 1,800 to 1,900 crores will be the net toll collection and thereafter roughly 200 -odd crores will be O&M expenditure, 1,500 to 1,600 crores will be EBITDA and private InvIT as of now has only little less than 10,000 crores of net debt i.e 9,500 cr . And considering that kind of debt, there

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will be a surplus in the private InvIT as the debt repayments are back ended. And in fact, last year, we have refinanced 3,000 crores of debt where there is a bullet repayment and interest cost is also fixed at ~ 8.7%. Considering all those things, the private InvIT will have a positive cash flow which will be used for distribution to the unit holder.

Aditya Mongia : So, the way I assess it is that the incremental projects that are going to be added will anyway see funding through separate means, let's say the rights issue that you are doing, and the existing projects should basically start generating cash flows from FY24 onwards, right, and the way you were suggesting is probably a 9% blended interest cost on a 10,00

0 crores book, you'll probably be generating 500, 600 crores of cash flows, slightly less so post tax. Is that a fair way of understanding?

Management : Yes, that's the fair way of understanding. And as you rightly mentioned, the surplus will be utilized for distribution and the equity requirement will be through our rights issue.

Aditya Mongia : Again, just a clarification, the two projects that you were talking about financial closures being imminent, will be booked as revenues in the private InvIT, they won't be impacting the toll numbers for the consolidated entity. Am I right on that?

Management : Yes, you are absolutely correct, but that will reduce the share of loss of JV from the private InvIT which gets as one line item in the consolidation of IRB.

Aditya Mongia : So, if today you are doing on a reported basis Rs.50 crores loss, right, in Q1, that's a number from the private InvIT and everything put together, when do you envisage this number starting to become a positive number?

Management : I think in 50 crores there is one time expense of around 25 crores net impact. So, roughly the loss is close to 25 crores and that has started improving; if you

look at the previous quarter, the loss was around Rs. 37 crores, that has now reduced to 25 crores or so. This financial year, we are expecting the loss will get reduced drastically considering the start of Hyderabad ORR project and the Samakhiali project.

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Aditya Mongia : So, the way I understand it is that this is naturally reducing trajectory of losses and with the two projects that you have won starting to contribute, that will only get accelerated, and let's say by the end of the fiscal year, this line item may start turning around on the other side?

Management : Yes.

Moderator: Next question is from the line of Prem Khurana from Anand Rathi. Please go ahead.

Prem Khurana : So, just a small clarification to continue with the losses in private InvIT. So, what was the one -off in this quarter because the losses went up in this quarter?

Management : Yes, there was a fair value loss on account of payable and there was one -time impact of Rs. 45 to 50 crores and due to that 51% impact that was roughly Rs.20 to 25 crores. And if you remove that, the losses are in the range of around Rs.25 crores, which has reduced from Rs.37 crores to Rs.25 crores

Prem Khurana: And second was essentially, I was reading this media article wherein someone seems to have a PIL against our Nehru Outer Ring Road Project. So, if you could even explain why? Second is would that delay the process of getting that project come to you, I mean, let's say not material delay, but then could it be some time before we would get to have it come to us?

Management : We have not heard of any stay or any restraining orders with regard to the PIL which you just mentioned, and it is more to do with the procedures pertaining to the bid that HMD had run. Whatever public knowledge we have I'm just narrating you a part of that. So, what they've talked about is disclosing the ICV and letting the public know what the ICV was. Now you know that NHA I also has a policy of not disclosing the ICV, which HMD A seems to have followed, so it's more about letting people know about what the process, procedure is and lack of that knowledge probably has led to this PIL is what it primarily looks like.

Moderator : Next question is from the line of Nikhil from HDFC Securities. Please go ahead.

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Nikhil : So, I just wanted to check with you on the guidance plan for the infusion that you are planning to do, the margins and the revenue side, so if you can throw some light on that?

Management: So, Nikhil , your question is on the revenue side or construction revenue for this year?

Nikhil : Yes, for FY24, your revenue guidance, your margin and the equity infusion that you're planning to do.

Management: So, on revenue

guidance, what we have given last time as well, it remains in the range of say 12% to 15% higher than what we have achieved last year. So, somewhere in the range of 5,000 to 5,500 should be the construction revenue what we are targeting for this year. Margins should remain stable as we are seeing the material prices have now gone in the declining trend. So, we don't foresee any further impact on the margin as such, it should remain stable what we have been delivering in the last one or two quarters as well. So, on the construction front, the margins will be stable what we have been delivering.

Nikhil : So, the equity infusion guidance?

Management: So, for FY24, we are expecting an equity infusion of around Rs.800 -1,000 crores and for next year around Rs.300 -500 crores, this is excluding Hyderabad.

Nikhil : What would be the amount for Hyderabad?

Management: Close to 1,500.

Moderator: Next question is from the line of Parikshit Khandpal from HDFC Securities. Please go ahead.

Parikshit Khandpal : My first question is what is active pipeline right now?

Management: Active pipeline as I mentioned earlier I think 6,000 kilometers of bidding pipeline is what NHA I has talked about. Other than that, there are some 40 - odd projects which would be offered on TOT basis, so that is another

opportunity which is available and this is the broad visibility that we are able to figure out at this point in time.

Parikshit Khandpal: Can you identify BOT opportunity out of the 6,000 kilometers?

Management: Identify in the sense, as you must be aware that we have been bidding for all the TOTs that have come up for bidding as of now and today, we are enjoying the market share of almost 37% in the TOT market given the upfront amount that we have committed. So, certainly that is one area of interest for us and we will continue to explore those possibilities. At the moment there are two bids which are active on TOT basis, which we are evaluating.

Parikshit Khandpal: On the BOT side, sir, how much do you think the government is planning to award because there has been pause in the BOT share in the project award makes any sense this year, what could be potentially the BOT pipeline for us?

Management: They have been talking about coming up with three projects on BOT, we have not seen any bid advertisements coming up, but our communication with them suggest that they will be soon coming out with few BOT projects for sure.

Parikshit Khandpal: On the private InvIT, so 2,862 crores, how do we fund our share of this? And also, if we take some more TOT projects, what is the appetite for GIC to pump in more money, how big can this platform become further in case because you're saying there are so many bids for BOT which are coming, so I don't think there is enough appetite in the market as well. From the capital allocation point of view, how much is our appetite and how much we will be on putting more money beyond this 2,800 crores?

Management: So, I'll give you a little flavor on this. So, you are very right that the TOT market size is not that big and it's confined to a few large funds who have also been bloating with the assets that they have been winning in the recent past. So, this is a very interesting opportunity that comes up for IRB given the well-capitalized balance sheet that IRB enjoys today. And certainly with a partner like GIC who has good amount of appetite available to deploy more capital, I think this will be the best opportunity that will play out for IRB and we are quite gung-ho about it. So, I think you have seen that we have been participating in all the TOTs in the past and we will continue to participate in

the upcoming TOTs. And I think as I mentioned earlier, it offers us two good possibilities. One like Anil said, the existing private InvIT portfolio has now started generating surplus cash, which will

be ramped up significantly with more projects becoming stable, and it will start generating surplus cash available for distribution, which will again become a part of source to part deploy that surplus back end to growing the portfolio. Other than that, the existing IRB assets also are throwing up good amount of cash, particularly Mumbai, Pune. So, given the existing cash on hand and the surpluses that the portfolio will be generating, no doubt, there will be a good amount of dividend distribution strategy also for the shareholders. But still even after considering dividend distribution, we will have good capital available to keep growing the book and given the scarce availability of participants, I think this will be a very interesting opportunity that we would like to play up.

Parikshit Khandpal: So, in terms of appetite, I mean, Rs.1,500 crores for the rights issue for your share and as more bids coming, you have to write bigger checks. So, what could be the mix there in terms of growth, in terms of dividend and do you think that you will have enough capital to be deployed and offset?

Management: While this might sound a little premature to talk about, I think we have now created a sizable portfolio of projects which are getting into a zone where they are self-stabilized, revenue generating, cash-positive portfolio. Now, it will actually unleash a flurry of opportunities. I can give you some flavor but with a word of caution that there is nothing crystallized, or as approved strategy on hand. But if we just go by the way, these portfolios work across the world. A sizable portfolio, you can always look at selling stakes at the project level to unlock significant amount of cash which can be deployed to grow the portfolio. It's not necessary that every time there has to be a fresh inflow of money or IRB putting back money from its balance sheet. The portfolio has acquired a size where with some support and some fresh capital at every time, the multiplier effect can be achieved by just rebalancing the portfolio equities itself. Certain amount of top-up money also can be raised because of the surplus cash that the portfolio is generating. And given all these opportunities,

I think the ability of the portfolio to add more assets which would be value accretive, I think the portfolio ability remains.

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Parikshit Khandpal : One thing, sir, because you already have a private InvIT. You were talking about the stakes in it. Do you think stakes in it partially will be largely restricted at the holdco level, which is like a private InvIT level or even like - ?

Management : InvIT level because we have seen our partners doing that in their geographies. And this is something which is a very interesting opportunity, which we will, as I said, with a word of caveat that there is no specific plan at this point in time. But tomorrow, if there are multiple opportunities that come our way, it is not necessary for us at all times keep looking at raising capital and depend on IRB to pump money. The portfolio itself is now getting into a zone where it can generate resources for growth.

Parikshit Khandpal : You're saying you and partner are hoping to basically selling out stakes at the SPV level within the private InvIT?

Management: Yes, that is one large possibility. We can sell down the project to public InvIT if there is a need to raise additional capital. So, having a completely evolved machinery that IRB is able to create where you have an execution vehicle, you have a development vehicle, you have a stable asset portfolio of private, public InvIT, which I think the way the assets can be played, the possibility is infinite for IRB. We can actually optimize the capital structure and keep creating value immensely. And that's the plan going forward, how we will play it out.

Parikshit Khandpal : The thing is that you have a structure in place, public and private InvIT and are

standalone. So, now things have to flow, I mean at the private level now things are stabilizing, the assets are stabilizing, but from there to move on into private, public InvIT I don't know how that thing can be tackled.

Management: All of this will depend on what opportunities come our way. Right now, as I said, each individual vertical is doing well for itself. They are all well-funded, the capital has been optimized. Tomorrow, depending on how many opportunities we are able to take in, we can always expand this structure in a very, very efficient way given the way the structure exists, that's the only point I'm trying to make here.

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Parikshit Khandpal : But at some point of time is the possibility of private InvIT itself becoming public?

Management: Private InvIT already is listed in a big way.

Parikshit Khandpal : But I'm saying more like even retail and other can participate rather.

Management: We don't want to do that. I think the InvIT level equity I don't see is going to see much change where both IRB and GIC are comfortable owning their 51 and 49 but InvIT assets can generate significant amount of surplus, asset monetization can generate significant amount of cash flow, whether you sell a stake in the SPV, you sell a whole of SPV, but that is the opportunity where the InvIT can generate cash flow to take care of its growth. And one thing more that whenever the private InvIT grows and takes any more assets, it automatically spins off order book for IRB to execute the CAPEX and OPEX part of it.

Moderator: Next follow-up question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia : My question links more around the ROEs the company reports and I understand that's not the best way. But do you envisage over the next few years, these ROE numbers are starting to become a lot more stable in the mid double-digit kind of zone for yourself as things pan out the way you were thinking through?

Management: Aditya, as you correctly said, I completely endorse the view that ROE is not the parameter to check the company's performance. We are not a pure EPC company. We have a solid asset book and we have deployed significant capital on these assets and these are long gestation assets of 20, 30, 35 years. So, for them to start generating significant amount of cash is going to take time and the majority of those assets have now become stable and have started generating positive cash. So, as we roll forward, this is only going to go up much stronger and this portfolio will generate immense amount of wealth. So, ROE kind of benchmarking will not be the right benchmark to my mind, DCF

of the assets is the right approach to my mind. Just to throw a number, we were just working out few and we realize that the private InvIT has a shelf life till

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2059 in terms of the asset concession life. And over this period of concession, we would be generating a net revenue means net of premiums against whatever projects we have premium payable, net of premiums, we will be generating a cash flow of more than 3 lakh crores. And that is the kind of revenue visibility that this portfolio has. So, I think the return will be significant, but as I said, this is a long gestation project on which the capital has been deployed, and if we try to look at the return on equity generated from this capital which has been deployed for long term assets like an EPC company, then I think we are looking at a very wrong benchmarking to my mind. And as you yourself endorse, that would not be the most right way to look at it. I think the DCF that the portfolio is generating is the parameter that has to be looked at is what is the DCF accretion happening with additional capital getting deployed. Aditya Mongia : Next question was more kind of near-term in nature. See, the traffic growth whichever po

rtfolio of yours will take up now, appears to be kind of moderating down and probably below 5%. So, there may be project-specific issues that you've highlighted, but is there something more than that makes you kind of think through these numbers on a recurring basis that are at a lower growth level versus 5%, 6% that you may have thought of? Management: Aditya, I will highlight a few of the assets of the private InvIT and then thereafter I will move to the IRB asset. If you look at the Gulbarga -Chittorgarh, there we have got almost 13.4% high, and if I will remove the 5% tariff revision, the traffic growth was 8.4%. Then I move to Hapur Moradabad, there also the traffic growth is very healthy, but because of the tariff revision, that is not reflecting the true picture, but traffic growth is more than double-digit. Now coming to Udaipur Sham laji, the re is 10.4% growth. If I remove the 5%, then around 6% is the traffic growth. Then we move to Solapur Yadeshji . Solapur Yadeshji has 18.9% revenue growth. If I remove 5%, it's a 13.9% traffic growth. There are more than six assets out of nine are generating more than double-digit kind of traffic growth. Yes, there are a few assets like Agra Etawah where there was some temporary disturbance and due to that disturbance there is only 7% growth. If I remove 5%, the traffic growth is only 2%. But I think that was temporary in nature and that will improve in the coming quarters. Now, moving to the IRB asset, Ahmedabad -Vadodara has delivered around 10% revenue growth, 5% was contributed by the traffic.

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Mumbai -Pune, I have already explained because of some work going on expressway and the connector route to the NH4 was closed for temporary basis. That has led a very slow growth on the Mumbai -Pune. I think the traffic growth still remains robust and we expect that the traffic will grow in line with the GDP or even if GDP is growing at faster speed, it can correlate between 1 to 1.1 times to the GDP. Aditya Mongia : The next question that I had was more on the private InvIT. When you said, 10,000 crores of debt, this is the gross debt number right that you're focusing upon?

Management: Yes.

Aditya Mongia : And is there any standalone entity over here as in is this only a combination of project level debts that we should be considering or is there any other element beyond project debt that we need to consider?

Management: Aditya, as of March 2023 , all the debt were at project level, and as we have discussed in last con call also we are in process of migrating some project level debt to the trust. But as on March 2023 , all these debts were at project SPV level only. And in Project SPV debt also there are two kind of debt; one debt is external debt, second debt is extended by the trust. So, we should not count the second one while counting the project level debt because that is debt extended by the trust.

Aditya Mongia : Could you give me a sense of how much support has been given, so what is inter party number on an aggregate basis, so let's say 10,000 crores the net debt, what is the add-on support given from the parent to these assets?

Management: There is no add-on support required for the private InvIT assets. We did a transaction with GIC in February 2020 and raised close to Rs.4,000 cr , the

part proceed of Rs.3,000 crores was utilized to prepay the the debt at the SPV level . It was not kind of shortfall funding; it was pre -payment of the debt which was funded by way of unit capital at trust level.

Aditya Mongia : I guess I do require the debt numbers on a project level basis either on the call or otherwise I can take it from you, because our numbers are slightly higher,

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but up to you whether you want to disclose the debt numbers of these 8 -9 projects right now or we can probably do it offline?

Management: The total net debt is close to 9,500 c

rores. It's already part of the presentation

and it's there on slide no. 33. But as you rightly mentioned, you want a project wise debt. We will share t he same. The Rs.9,500 crores what we have mentioned is a net debt, gross debt will be roughly Rs. 10,000 crores.

Aditya Mongia : Got that. Now I'll take it offline.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Virendra Mhaiskar for closing comments.

Virendra Mhaiskar : So, we would like to thank all the callers and shareholders who participated in this con call. We wish you all a good week ahead and hope to see you on the next con call as well. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, this concludes your conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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Call: Aug 2024

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IRB Infrastructure Developers Limited
Q1 FY 2025 Earnings Conference call
August 9, 2024 ; 5 PM IST

Moderator: Good evening, ladies and gentlemen. Welcome to the IRB Infrastructure Developers Conference call for discussing the financial results for the quarter ended June 30, 2024, along with recent developments. We have with us on the call today, Mr. Virendra Mhaikar, Mr. S S Rana, Mr. Anil Yadav, Mr. Tushar Kawedi and Mr. Mehul Patel.

As a reminder, all participant lines will be in the listen only mode and after the opening remarks by the management, there will be a question-and-answer session. Please note that the duration of the call would be 45 minutes and any queries left unanswered after the call can be subsequently mailed to the management after adequate response and resolution. Please note that this conference is being recorded. I now request Mr. Yadav to give you an overview of the significant developments during the quarter. Thank you and over to you, Sir.

Anil Yadav: Good evening, everyone. I welcome all investors and analysts to our earnings call for Q1 results of Financial Year 2024 -25. I trust you have reviewed our detailed numbers and presentation. I will briefly highlight the key points for the quarter.

Starting with Project Update:

We have received the appointed date from NHAI for TOT -12 and TOT -13 and commenced tolling on April 1, 2024. We are pleased to inform you that the collection for both projects has been robust and encouraging, exceeding our initial estimates.

Meerut Budaun Expressway Limited ("MBEL"), the Ganga Expressway Project SPV, entire equity i.e. sponsors contribution has been infused. Following this infusion, MBEL has received the first tranche of Grant of Rs. 350 crores from Uttar Pradesh Expressways Industrial Development Authority (UPEIDA). The project has achieved a significant milestone, surpassing 50% of construction completion. This accomplishment makes the project eligible for transfer to Private InvIT.

During the quarter, Cintra, a subsidiary of Ferrovial, has successfully completed the acquisition of a 24% stake from GIC affiliates in IRB Infrastructure Trust ("Trust") and a 24% stake in MMK Toll Road Private Limited ("MMK"), the Investment Manager of the Trust.

Post-transaction, IRB Infrastructure Developers Limited will continue as the sponsor and project manager to the Trust, holding approximately 51% of the

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units in the Trust and approximately 51% of the equity share capital of the Investment Manager. GIC and Cintra now hold 25% and 24% of the units, respectively. Cintra will also have representation on the board of Private InvIT. We have received PCOD 3 for Hapur Moradabad Project, resulting in a tariff revision of approximately 4%.

Toll collection & other Updates:

Our toll collection has seen growth, with Mumbai Pune and Ahmedabad Vadodara per -day toll collection increasing to Rs. 6.84 crores for the quarter ended June 2024, compared to Rs. 6.55 crores per day for the quarter ended June 2023, registering a 4.4% growth.

For Private InvIT, per -day collection has risen to Rs. 10.25 crores for the quarter ended June 2024, compared to Rs. 6.45 crores per day for the quarter ended June 2023, recording a 59% growth. This increase is attributed to traffic growth, toll, tariff revision and addition of new projects.

The projects received a tariff revision of approximately 2.5% effective June 3, 2024.

Private InvIT has been generating positive cash flow since last financial year and has declared a distribution of Rs. 72 crores for Q1FY25, which will reflect in

IRB's cash flow to the extent of its holding, i.e., 51%.

In line with our dividend policy, the company has declared an interim dividend of 10%, amounting to approximately Rs. 60 crores.

Order book and future outlook:

Our total order book now stands at approximately Rs. 33,600 crore

s, with an EPC

order book of approximately Rs. 5,000 crores. The next two years' executable

order book, including EPC and O&M, is close to Rs. 7,000 crores.

We are witnessing a shift in the mode of award from NHAI, with an expected increase in BOT awards. The identified opportunity on a BOT basis is over Rs. 2 trillion. We will bid for viable opportunities, apart from TOT Projects, and participate in BOT, TOT, and HAM in that order of preference. For projects executed through Private InvIT, the equity requirement will be reduced to 51%, approximately 15% of the project cost.

NHAI has listed 33 TOT projects on their website, with a total lane kilometer of over 2,600, which will be up for bidding in the near future. With our consolidated net debt to equity ratio at less than 1:1, we are well-capitalized to tap into the upcoming opportunities, which will consist of a significant portion of BOT/TOT along with our partners GIC affiliates and Cintra.

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Now, I will request Tushar to cover the financial highlights for Q1 FY25. Over to you, Tushar.

Tushar Kawedia: Thank you, Sir. Now I will take you through the financial analysis of Q1 FY25 vs Q1 FY24.

The total consolidated income for Q1 FY25 has increased to Rs. 1,972 crores from Rs. 1,746 crores, registering a growth of 13 %. The total consolidated toll revenues for Q1 FY25 have increased to Rs. 637 crores from Rs. 613 crores, registering a growth of 4%. The total consolidated construction revenue for Q1 FY25 have increased to Rs. 1,335 crores from Rs. 1,133 crores registering a growth of 18%. EBITDA for Q1 FY25 increased to Rs. 976 crores from Rs. 889 crores, registering a growth of 10 %. Interest cost has increased to Rs. 439 crores for Q1 FY25 from Rs. 381 crores, up by 15%. The depreciation has increased to Rs. 255 crores in Q1 FY25 from Rs. 237 crores in Q1 FY24, up by 8%. PBT has increased to Rs. 282 crores in Q1 FY25 from Rs. 271 crores in Q1 FY24 increased by 4%. PAT after share of loss from JV of Rs. 53 crores has increased to Rs. 140 crores in Q1 FY25 from profit of Rs. 134 crores in Q1 FY24, an increase by 5%. Cash profit has increased to Rs. 448 crores in Q1 FY25 from Rs. 424 crores in Q1 FY24, an increase of 6%.

Now, I will request the moderator to open the session for questions and answers.

Moderator: The first question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan : Hi Sir , I just wanted to sort of understand we've been hoping for this BOT, TOT bids to come through and they were about INR 45,000 crores worth of projects initially expected to be bid out on BOT basis . Are we close to getting bid finalizations for L1 on any projects and what do you think is the timeline for sort of BOT wins to come through for IRB?

Management: Yeah. Good evening. You're right. The number in terms of biddable amount of projects on BOT and TOT remains unchanged and there has been a slight delay because of some clarifications that have been sought by the prospective bidders. But otherwise, everything looks as it were, as robust as it was, and we are very much looking forward for the upcoming bids.

Deepak Krishnan : So maybe in Q2, is it a possibility or would it be you know Q3 and Q4 when actual awards would come through .

Management: No no. Q2 for sure should see some activities and some awards coming through.

Deepak Krishnan : Sure. And similarly on the TOT, because you've indicated that you're not.

Management: Both BOT as well as TOT should see some projects definitely getting awarded if I go by the existing timeline that we can see on the NHAI website , some project about certainly looks doable in Q2.

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Deepak Krishnan : Sure. And maybe just a follow up. So obviously we've added a lot of assets to the private InvIT . The revenue growth has been pretty strong in terms of toll collectio

ns. When does that sort of positivity start reflecting in terms of lower losses, you know adjusting for the accounting adjustments you have to do for the legacy assets. Now for the full year, like what kind of loss number do we think we will end up with?

Management: Krishnan, I think the losses have two parts. One is the fair valuation loss, which is the book entry , there is no cash loss as such and that will be close to 40 crores for the quarter i.e. 20 crores share of IRB. Apart from that, if you look at current quarter, it's a 34 crores kind of loss and as typically , we see Q3 and Q4 toll numbers are better from there we should start seeing these losses coming down. And probably from next financial year we will have a positive number from the share of minority. Further, there is net distributable surplus in Private Invit and has started regular quarterly distribution from last year.

Deepak Krishnan : Sure Sir, those were my questions. Thank you.

Moderator: Thank you very much. The next question is from the line of Alok Deora from Motilal Oswal Financial Services. Please go ahead.

Alok Deora: Hi, Sir. Good evening. So just a couple of questions. One is similar to the previous question. So, you know if you look in on overall basis also there has been hardly any awarding b y NHAI till date in this financial year and typically we don't see many projects coming in during the monsoon period as well. So is it fair to assume that anything material will only come by from November, December onwards and also many people are struggling, many contractors are struggling for orders so will there be decent competition ?

Management: No. Look, I think you're very right. We have been saying this for a long time now that the EPC and the HAM part of the bidding is likely to see a considerable slowdown and that is now reflected from what you just said. But as regards to TOT and BOT pipeline is concerned, there is an active dialogue happening between the prospective bidders and N HAI and as I said, whatever deferments or delays in the bid dates has happened is primarily due to clarification that the prospective bidders have sought. And I think a better prepared bid will be a good thing for the industry as a whole and the delays that we are seeing are not anything to do with lack of push from the government, but a part of the procedural aspects regarding getting the full information in the right manner before committing a bid, given the long-term investment that it involves. So, as I said, the BOT and TOT side of the bidding remains very, very robust and we are very much going to be a part of that bidding process.

Alok Deora: Sure. So, the consultations or you know to and fro has that been completed now or it could it's still in like a dialogue state?

Management: So Alok as I said we expect a few weeks to see the light of the day in the Q 2. And for Q3, I think definitely there will be a lot more of it. But Q2 also, we feel

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that there will be some good number of outcomes on BOT plus TOT put together.

Alok Deora: Sure. And on the toll projects, so have you taken any toll price increase in Q1? Typically, there are lot of projects where toll price gets change effective April. So just some color on that ?

Management: Yes, the tariff revision which was delayed due to model code of conduct, was finally given a go ahead and from the first week of June itself, the same has been implemented and that that's in place now for all the NH AI projects.

Alok Deora: Sure. Just one last thing, what kind of order flows we are looking at for this financial year considering the certain delays in bidding and you know what's the order inflow target for this year?

Management: Order inflow target from NHAI is a very big number of 2 lakh crores. Now significant part of that will be BOT and TOT is what they have talked about and if you look a

t our market share presently on the BOT which is close to 10% and TOT which is at 38%, we will definitely strive hard to maintain our lead in both the verticals.

Alok Deora: Got it. Got it, Sir. That's all from my side. Thank You and all the best, Sir.

Management: Thank you.

Moderator: The next question is from the line of Ketan Jain from Aven dus Spark. Please go ahead.

Ketan Jain: Thank you. Good evening, Sir. my question is on the same BOT pipeline. So, can you quantify the value of projects in the near term in BOT mode from N HAI?

Management: The list is already out. I think we have given it as a part of the presentation that you see, the presentation is on the website. Slide 26 if you see, we have given an exhaustive list.

Ketan Jain : Understood. OK, Sir, I'll refer to that. So, my next question is on what are the key changes in the concession agreement which N HAI has proposed and will it benefit the contractors ?

Management: It will benefit. There is a whole host of reforms that they have carried out.

Ketan Jain : Any major ones which will help us?

Management: It's actually a small presentation. We can send out to you a small presentation on that. Slide 24 has few of those already listed on our presentation.

Ketan Jain : OK, fine, Sir.

Moderator: Thank you very much. The next question is from the line of Tushar Pendharkar from Ventura Securities Limited. Please go ahead.

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Tushar Pendharkar: Yeah. Thank you, Sir. there are some shares owned by the promoter, which is shown as pledge. Can you throw some light on the same?

Management: Yeah, there is a non-disposal undertaking given by us as promoters of the Company. I want to clarify here that there is no promoter loan, or any credit availed against any of the NDU that has been given. Primarily when GI C and Cintra made the large equity investment of five odd thousand crores in December 21, they wanted this NDU to be placed to give them the comfort that the existing sponsor interest remains aligned with them and it is a ND U given for next few years that the promoters will continue to remain aligned and continue to lead the Company in terms of project wins and take the business forward. So, this is more of a non-disposal undertaking. It is not a pledge, nor is there any credit availed against any of these shares.

Tushar Pendharkar: OK, so there won't be any major impact on the shareholding pattern of the company from that?

Management: No, no, no, not at all.

Tushar Pendharkar: OK. Thanks.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: Hi Sir. So, what would be the breakup of other income within E PC and BOT?

Management: 22 crores in BOT and balance in construction side.

Vaibhav Shah: And this should be similar over the next 2/3 quarters as well. Will the trend remain similar ?

Management: We can expect similar trend.

Vaibhav Shah: Ok. Thank you sir.

Management: Thank you.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Virendra M haiskar for closing comments.

Virendra Mhaiskar : I would like to thank all of you for taking time out and attending this analyst call. Look forward to catch up with you on the next quarterly results call. I wish you a very happy and good weekend. See you and connect with you soon. Thank you.

Moderator: Thank you, Sir. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Researchbytes conferencing services. You may please disconnect your lines now. Thank you and have a great evening ahead.

Call: Oct 2024

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IRB Infrastructure Developers Limited
Q2 Financial Year 2025
October 30 , 2024

Moderator: Ladies and gentlemen, welcome to the IRB Infrastructure Developers Limited Conference Call to discuss the Financial Results for the Quarter Ended September 30, 2024, along with recent developments.

We have with us on the call today Mr. Virendra Mhaiskar , Mr. S.S. Rana, Mr. Sudhir Hoshing, Mr. Anil Yadav, Mr. Mehul Patel, Ms. Poonam Nishal and Mr. Tushar Kawedia .

As a reminder, all participants' lines will be in the listen-only mode and after the opening remarks by the management, there will be a question-and-answer session. Please note that the duration of the call will be 45 minutes , and any queries left unanswered after the call can be subsequently mailed to the management for adequate response and resolution. Please note that this conference is being recorded.

I now request Mr. Yadav to give an overview of the significant developments during the quarter. Thank you and what to you , sir.

Anil Yadav: Thank you. Good evening, everyone. I welcome all investors and analysts to our earnings call for Q2 results of the Financial Year 2024 -25. I trust you have reviewed our detailed numbers and presentation. I will briefly highlight the key points for the quarter.

We are pleased to inform you that IRB has successfully completed the tap issuance and allotment of US\$ 200 Mn. 7.11% Senior Secured Notes having final maturity in FY2032 at premium. Proceeds from issuance of notes will be utilized for capital expenditure and/or refinancing of loans availed for capital expenditure. This will further strengthen our liquidity position thereby ensuring business stability.

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Being the issuer, IRB was rated as Ba1' and BB+ by reputed international rating firms – Moody's and Fitch respectively. We received an encouraging response with participation from marquee investors like Blackrock , Lombard Odier, HSBC, T. Rowe Price, PIMCO, BFAM Partners, Brevan Howard , Wellington, Goldman Sachs, etc. The Notes are listed on the India International Exchange (IFSC) Limited ("India INX").

Toll collection for this quarter was significantly impacted due to heavy rains across India, with many states witnessing their highest rainfall this monsoon, leading to flooding. Despite the impact of heavy rains, toll collection has shown growth. The Mumbai -Pune and Ahmedabad -Vadodara corridors reported a 2.3% increase in daily toll collection , from Rs. 6.25 crores in Q2FY24 to Rs. 6.40 crores in Q2FY25 . In view of the forthcoming festive season, we are optimistic about sustaining growth, driven by increased travel and economic activities . The second half of the year is typically much better from a toll collection perspective.

For Private InvIT, per-day collection has risen to Rs. 9.94 crores for the quarter ended September 2024 , compared to Rs. 6.82 crores per day for the quarter ended September 2023, recording a 46% growth . This increase is attributed to traffic growth, toll tariff revision , and addition of new projects.

Private InvIT has been generating positive cash flow since last financial year and has declared a distribution of ~Rs. 64 crores for Q2FY25 , which will reflect in IRB's cash flow to the extent of its holding, i.e., 51%.

In line with our dividend policy, the company has declared an interim dividend of 10%, amounting to ~Rs. 60 crores.

Our total order book now stands at approximately Rs. 32,600 crores, with an EPC order book of approximately Rs. 4,000 crores. The next two years' executable order book , including EPC and O&M , is close to Rs. 6, 200 crores excluding change of scope work and utility shifting.

CRISIL Ratings has reaffirmed its 'CRISIL AA- / Stable rating for long term credit facilities of the company .

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Long term opportunity in the sector - NHAH has announced plans to do

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national highway grid from 100,000 kilometres to 200,000 kilometres at an investment value of over Rs. 50 trillion over the next eight years. Considering existing high leverage, the authority is likely to increase their portfolio of projects that are being awarded on PPP and we expect around 40% of the plan to come up of approximately Rs.20 trillion on PPP mode. Even a 10% market share in the proposed PPP would mean addition of Rs. 2 trillion worth of projects to IRB portfolio .

IRB has transformed into a self-sufficient powerhouse, poised for continued growth and leadership fortification. Our cash flow strategy , fueled by :

1. Asset monetization

2. Two InvITs

3. Asset churn (BEST approach : Bid, Execute, Stabilize, and Transfer)

Supported by our extensive asset portfolio and prudent long-term leverage management, it will enable us to triple our portfolio over the next six to eight years, building on our established asset base of for FY 25.

Near -term opportunities:

A large pipeline of approximately Rs. 37,000 crores , comprising BOT projects and four TOT projects , is already lined up. Although the bidding and awarding process has been slow, we expect it to accelerate in the second half of the current year.

With a lower consolidated net debt -to-equity ratio, we are well -capitalized to tap into these opportunities, which will include a significant portion of BOT /TOT projects in partnership with GIC affiliates and Cintra.

We are well -prepared and in a strong position to actively pursue these opportunities. We will bid for BOT and TOT projects , which will be executed through Private InvIT , reducing equity requirements to 51 % (approximately 15% of project cost).

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Now, I will request Tushar to cover the financial highlights for Q2FY25 . Over to you, Tushar.

Tushar Kawedia : Yeah. Thank you, sir. So I will just take you through the financial analysis of Q2 FY25 versus Q2 FY24. The total consolidated income for Q2 FY25 was at Rs. 1,752 crores from Rs. 1,875 crores, down by 7%. The decrease in the construction revenue is mainly on account of the heavy monsoon across all states.

The consolidated toll revenues for Q2 FY25 has increased to Rs. 600 crores from Rs. 588 crores for Q2 FY24, registering a growth of 2 %. The consolidated construction revenues for Q2 FY25 decreased to Rs. 1,152 crores from Rs. 1,286 crores, down by 10% .

EBITDA for Q2 FY25 slightly increased to Rs. 933 crores from Rs. 924 crores , registering a growth of 1%.

The interest cost remained stable at Rs. 434 crores in Q2 FY25 from Rs. 435 crores in Q2 FY 24.

The depreciation and amortization slightly decreased to Rs. 231 crores in Q2 FY25 from Rs. 233 crores , and PBT has increased to Rs. 267 crores as against Rs. 257 crores, an increase of 4%.

PAT after share of loss from JV of (Rs. 84 crores) has increased to Rs. 100 crores in Q2 FY25 from profit of Rs. 96 crores in Q2 FY24, an increase of 4%. Cash profit has increased to Rs. 415 crores in Q2FY25 from Rs. 404 crores in Q2FY24, an increase of 3%.

Now , I request the moderator to open the session for question -and-answers.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Alok Deora from Motilal Oswal Financial Services. Please go ahead.

Alok Deora : Sir, just a few questions. First is on the execution, which has been pretty soft even on Y-o-Y basis if we see . So just wanted to understand what's happened ,

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is it just because of the monsoon or any other reason also could be attributed to this? And how has October been for us and whether this could continue a little bit in 3Q as well?

Management : Thank you, Alok. As mentioned earlier, unprecedented monsoon rains led to record -breaking rainfall in several states. Consequently, EPC execution and

toll revenue were impacted. However, wi

th the monsoon now behind us, execution is gaining momentum, and we anticipate a significant pickup in construction activity during the third quarter.

Thank you, Alok. As discussed in the opening remarks, because of the very severe rain, some of the states have even seen the highest rainfall this monsoon. Consequently, EPC execution and toll revenue were impacted. However, with the monsoon now behind us, execution is gaining momentum, and we anticipate a pickup in construction activity during the third quarter.

Alok Deora : Sure. Just couple of data points. The other income has jumped quite a lot, even Q-on-Q and Y-o-Y, so any one-time included in that?

Management : So, as we discussed last time also, there is a fair value gain impact in the other income for which is on account of the fair value of deferred consideration receivable from the Private InvIT.

Alok Deora : Sure. And on this share of profit in associate, that has the actual losses have widened in 2Q, so that would normalize ahead or just wanted some color on?

Management : Please note that the fair value loss has also impact Profit & Loss account of Private InvIT, reflected in share of JV. Refer to our corporate presentation, Slide 4, for details on fair valuation impact. Adjusting for this loss in Q2 FY24 and Q2 FY25, Private InvIT losses remain steady despite adding three new projects: Hyderabad ORR, TOT 12, and TOT 13. Newly added projects typically generate positive cash flow initially, but amortization leads to losses. Notably, private InvIT losses haven't increased despite project additions.

Alok Deora : Got it. Just one last question. So, you have again in the presentation highlighted the bid pipeline across toll and TOT. So just wanted to understand, we are already at October end now, so have projects started coming up and have we

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started bidding? Are there projects where we have bid and outcome has not come yet? Or it will mostly come from December onwards?

Management : So, Alok, you are right, this is a concern the entire sector is having on its mind. And if you see, only one TOT has so far seen actual bidding going through. And the other four TOTs are now likely to happen between now and end of December and the BOT projects also keep getting postponed, and we now expect few of them to get bid out in the third quarter, assuming no further delays from NHAI on this. So, I would say that it is moving in a similar direction to what we have seen in the last couple of years when the bidding activity escalates significantly towards the end of the financial year.

Alok Deora : Sure. Thanks for that. But we are not changing our order inflow targets or guidance or anything of that sort?

Management : No.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Sir, maybe just one question, so you indicated that EPC revenue pipeline for next two years is Rs. 60 crores to Rs. 100 crores. We did about Rs. 4,900 crores in FY '24, so in case there are sort of no wins, how are we looking at EPC revenues for this particular year, the construction revenue for this particular year as well as sort of for FY '26?

Management : Krishnan, our current order book stands at approximately Rs. 6,200 crores for the next two years, excluding utility shifting and change of scope (COS) works. Typically, COS and utility shifting works add Rs. 1000 to 1200 crores over the period. Considering this, our total order book is around Rs. 7,000 crores, executable over six quarters.

We have visibility for the next six quarters, and beyond that, our 20-year O&M contracts provide assurance. Even in a worst-case scenario, if new orders are delayed by 1-1.5 years, EPC revenue might decrease to 40-50%. However, our O&M revenue will grow to Rs. 2,00

0-2,500 crores, ensuring revenue continuity.

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We're confident of securing new orders and sustaining EPC growth, consistent with our past performance.

Deepak Krishnan: Sure. And maybe just wanted to understand, till what time would we sort of continue to see losses from associates, like what are we expecting for the full

year and when does this sort of impact of fair value go away and the impact of all the new assets come through and we start seeing, we are seeing cash flow but we are not seeing profitability, when does that start showing up in the associate line positive, is it FY 26 or would it be FY 27?

Management: I think you are very right, and you have touched upon a very good question. What is happening is these investments today reflect at book value, and the real value that this portfolio is generating is not getting duly captured in the essence of the results to my mind. And the company is working on this because the cash flow is very robust, as you know that we have already started distributions from this platform. So, we are working on it. I think you should see the results on that line sooner than later.

Deepak Krishnan: Sure. Any impact of this new change in toll collection now moving to satellite-based toll collection with first I think 30-odd kilometers no toll collection, does it impact us in any way? Or there is no sort of financial impact?

Management: None of the things which you mentioned have become operationalized. These are all academic discussions underway. And none of the toll notifications of any of the projects have seen any change. And to my understanding, these are all futuristic thought processes. The new software or the new technology is much in a primitive testing mode as of now. So, it will take some time for that to happen and as the outcome of the FastTag has been extraordinarily good for the company, we believe the new technology also will add further value to the portfolio going forward and in terms of the reform, what has taken place in the sector, whether we call it moving from tariff revision linked with the WPI and thereafter 3% fixed plus 40%, all the changes were with the prospective effect. So ideally, we assume that the changes whenever will happen for the new projects to begin with. And secondly, the concession agreement provides adequate compensation in case there is any change to the regulation.

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Deepak Krishnan: And just one other thing, the one-time impact of fair value, how much would that be? If I look at Q-on-Q, other income is up by Rs. 47 crores and the loss is up by Rs. 30 crores. What would sort of the one-time impact in both of them?

Management: So, for this quarter it was around Rs. 80 crores one-time impact in the IRB results.

Deepak Krishnan: And part of it gets obviously adjusted out of the associate?

Management: Yes, that's right.

Deepak Krishnan: So, I think we have sort of already touched upon, but do you kind of see acceleration of bidding happening in second half? Do we sort of finally see all these awards picking up substantially? How are we looking at it, or are there still some uncertainties? Are we at a place where L1s are awarded? Or do we still probably think that L1 gets awarded two, three months?

Management: So, we are tracking more of the BOT and TOTs. And in that we can say that there are four TOTs lined up for bidding as per the present date before end of December, and there are six to seven BOT projects which are also up for bidding which are likely to happen between now and March. So, there is good visibility. And see, we must understand that all these BOT projects which have come after a long time for bidding involve a lot of queries and clarifications that must come from the client which are being asked by prospective bidders. And that entire exercise of understanding the project

much better before we

put in a bid, this is what is taking time and pushing the dates of submission forward. But I can say that in majority of these six, seven bids, most of the iterations are wanting to understand the nuances of the project, more clarification on the scope of work and timelines, etc., have all been iterated now. We don't expect any further delay in the date of submission now. That's why we believe that between now and March these six, seven BOTs and four TOTs should see the end of the tunnel.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities Limited. Please go ahead.

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Parikshit Kandpal: Congratulations on a decent quarter. Sir, what will be the sizes of these BOT assets which are coming up for bidding?

Management: Parikshit, the bidding size of the BOTs are in the range of Rs. 4,000 crores to Rs. 7,000 crores, each. I will not be able to give you a number because that is upfront number that we have to quote, but these are decent sized TOTs as well.

Parikshit Kandpal: You are saying each BOT project will be Rs. 4,000 crores to Rs. 7,000 crores, and the equity requirement will be almost Rs. 1,200 crores to Rs. 2,000 crores for each project?

Management: Yes. And as you will appreciate, our requirement falls to 51% of that, and we are very well capitalized because we will be partly redeploying the construction profit back to fund our share of equity. So, we are quite comfortable in terms of our ability to fund the equity for the project that may come our way.

Parikshit Kandpal: And how do you envisage these, I mean, will this be on the positive revenue share with NHAI or do you think there could be some grant element? So, this new bidding which kicks in, so how do you read into these bids?

Management: Very difficult to say because each of the bid will be different, but largely it will be grant project.

Parikshit Kandpal: But not touching 40% times grant. I mean, maybe a much smaller grant.

Management: The upper limit is 20% now, the contract provides for the highest grant of 20%.

Parikshit Kandpal: So 30% is the highest and 20% --

Management: 20% is the highest.

Parikshit Kandpal: Sir, I mean, this will require huge outlay and even we are bidding for TOTs.

So in that sense, between Private InvITs where the assets are getting matured, so how do you look at monetization internally? Because TOTs will not give you much of value addition as BOTs because BOT brings in a construction element and then you reinvest that profits into equity. But since you are also following both the paths, so how do you now look at monetization of the

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Private InvIT assets, especially the ones which have now some history or nearing maturity so stability on revenues?

Management: So you have touched upon a very valid point, and even at the risk of jumping the gun, I would say that, yes, we have been working on BE ST policy, as we have always articulated, which is bid, execute, stabilize and transfer. And while I will not be able to give you a detailed color on what is underway, we are seriously working on this strategy to ensure that we at all times will have enough resources to tap the upcoming TOT opportunities and bid on them. And you will see more color of what we are trying to say here in near future, in terms of our strategy to rise to this requirement of Government of India wanting to do asset monetization. And we will be positively supplementing and supporting this initiative.

Parikshit Kandpal: Sir, how many projects do you think realistically you can win? I mean, there will be limited competition given the sizes are humongous, we have rarely seen this kind of size coming in. So, what kind of appetite do you think we can have? You have a partner obviously, but do you think in terms of order inflows, can you know how much can you take in a financial year?

Management: Parikshit, no cost is attached to wishing. So definitely we would like to retain our market share that we presently command, which is 34%.

Parikshit Kandpal: So, these five, six projects, each is about Rs. 30,000 crores, Rs. 35,000 crores.

Management: I would refrain myself from putting a math and a number to it.

Parikshit Kandpal: No, guidance wise, order inflow guidance wise how much?

Management: Please do not take this as guidance, but I am giving you a round about strategy, what our wish list would be.

Parikshit Kandpal: But do we have that kind of appetite? I mean, if we can get two, three projects and we need to invest Rs. 4,000 crores of equity, so that is like enough bandwidth on our equity side to do that?

Management: 100%.

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Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rathi Group. Please go ahead.

Prem Khurana: Sir, I mean, most of my questions on the quarterly results are already answered. I mean, I had two questions on them, I mean, the observations from the annual report, if you could help me understand those. One was our deferred consideration for stake sale seems to have gone up. I mean, we have not transferred any new asset, I mean, these are all old assets which were transferred long back. Why would we see any increase in the deferred consideration? I mean, I was under the impression that ideally, they should come down because YATL order was ruled in our favor, so I thought that money would come to you and which is where the number should ideally come

down over a period of time whenever you get to have that money. But the number seems to have gone up .

And second thing that I want ed to clarify was , so when I look at the investments part, some of these assets which are with the Private InvIT , we seem to have infused money from our balance sheet. I mean, it's shown as a part of subordinate debt, Rs. 1,600 crores, Rs. 1700 crore Inves tment , I mean , there are multiple entities . So, I mean , why would you invest directly in these S PVs and subordinate it? Ideally I mean it should have gone to Private InvIT, and Private InvIT should have invested money, right , if there was any requirement, why would we use our balance sheet to do that ?

Management : Prem, to address your first question , the deferred consideration is accounted for on a discounted basis , which increases as we approach the receipt date .

Regarding Yedeshi Aurangabad, we've received an arbitration award of over Rs. 1,700 crores , plus a concession period extension. However, we're yet to receive this amount from NHAI, and once received, it will reduce the deferred consideration .

Concerning private InvIT funding, rights issue timelines involve prospectus filing with SEBI . In the interim, we may directly infuse funds into SPVs , which are reimbursed post -rights issue .

Prem Khurana: Thank you. And all the very best for future and wish you a very Happy Diwali.

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Moderator: Thank you.

Management : I think there are no more questions , we can do the closing remark and conclude the call.

Moderator: Okay . I would now like to hand over the conference to the management for closing remarks.

Anil Yadav: Yeah, I would like to thank all of you for being on the call today . And we would like to wish you all a very Happy Diwali and a prosperous New Year ahead. And we look forward to have you again with us on the next update of the company very soon.

Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today.

We thank you for your participation and for using Research bytes Conferencing Services. You may now please disconnect your lines now. Thank you and have a great evening ahead.

Call: Feb 2025

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IRB Infrastructure Developers Limited

Q3 FY25 Earnings Conference Call

February 1, 2025

Moderator: Good morning, ladies and gentlemen, Welcome to the IRB Infrastructure Developers Limited Conference call for discussing the Financial Results for the quarter ended December 31, 2024, along with recent developments.

We have with us on the call today, Mr. Virendra Mhaikar, Mr. S S Rana, Mr. Anil Yadav, Mr. Mehul Patel, Ms. Poonam Nishal and Mr. Tushar Kawedia.

As a reminder, all participant lines will be in the listen-only mode and after the "Opening Remarks" by the management, there will be a question-and-answer session. Please note that the duration of the call would be 45 minutes and any queries left unanswered after the call can be subsequently mailed to the management for adequate response and resolution. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yadav to give you an overview of the significant developments during the quarter. Thank you and over to you, Sir.

Anil Yadav: Good morning, everyone. I welcome all investors and analysts to our earnings call for Q3 results of Financial Year 2024-25. I trust you have reviewed our detailed numbers and presentation. I will briefly highlight the key points for the quarter.

Pvt InvIT - IRB Infrastructure Trust, has issued a preliminary and non-binding offer ("NBO") to offer 5 of its matured assets to Pub InvIT - IRB InvIT Fund. As of Sep-24, the enterprise value of 5 offered assets is ~ Rs 15,000 Crores as outlined in the independent valuer's report of the Private InvIT. The consideration so received will be used for funding upcoming opportunities in the Sector.

This proposed transfer is a key step in our B.E.S.T (Bid, Execute, Stabilize & Transfer) strategy, under which projects are initially developed under our Private InvIT platform. Upon their completion and stabilization, these assets are then first offered to the Public InvIT platform. This process not only

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maximizes value for all stakeholders of the IRB Group but also ensures sustained long-term benefits.

The B.E.S.T growth strategy focuses on sourcing capital for growth through asset monetization. This transfer of assets from the Private InvIT to the Public InvIT will ensure that there is no need to dilute equity or alternatively raise debt at IRB level. For the Public InvIT, this is a win-win situation as not only their portfolio expands but also the residual life of the assets under management will get enhanced.

During the quarter, Pvt InvIT has acquired 80.4% of the equity share capital and 80.4% of the debentures of Ganga expressway Project ("MBEL"). The Project has already received three tranches of Grant aggregating to Rs. 8.70 Bn of the 17.46 Bn from UPEIDA. We are happy to inform that the project is progressing as per the scheduled timelines.

The investment manager of the Pvt InvIT, on behalf of the Trust, has issued and allotted 5.84 crore Units of the Trust aggregating to Rs. 1,714.92 crores. The Company, being the Sponsor of the Trust, has been allotted 2.98 crore units.

We have witnessed a robust toll Revenue growth of ~21% across projects in Private InvIT, Mumbai Pune & Ahmedabad Vadodara YoY for Q3FY25.

Private InvIT has been generating positive cash flow since last financial year and has declared a distribution of ~Rs. 54 crores for Q3FY25, which will reflect in IRB's cash flow to the extent of its holding, i.e., 51%. Cumulative distribution declared by private InvIT for 9MFY25 aggregates to Rs. ~190 crores.

In line with our dividend policy, the company has declared an interim dividend of 10%, amounting to approximately Rs. 60 crores. Total dividend for 9M FY25 aggregates to Rs.181.1 Crores.

Our total order book now stands at approximately Rs. 31,500 crores, with an EPC order book of approximately Rs. 3,200 crores. The next two years'

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ecutable order book, including EPC and O&M, is close to Rs. 6,000 crores.

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With respect to new bidding, the government's push for Public -Private Partnership (PPP) projects is gaining momentum, with bidding for Build - Operate -Transfer (BOT) and Toll -Operate -Transfer (TOT) projects now underway. We are well -positioned to capitalize on these opportunities and intend to actively participate in these upcoming projects.

India Ratings and Research (Ind -Ra) has affirmed IRB Infrastructure Developers Limited's (IRBIDL) Long -Term Issuer Rating at 'IND AA -' with a stable outlook.

Now I will request Shri Tushar to cover the "Financial Highlights" for Q3 FY25. Over to you Tushar.

Tushar Kawedia: Thank you sir and good morning to all. I will first take you on the new accounting segment reported by the company for this quarter followed by the financial highlights for the quarter.

To align the accounting treatment in line with the regulatory changes relating to InvIT operations, shifting business environments and emerging business opportunities, the company has engaged experts to advise on the accounting approach to be adopted by IRB. Following an extensive study of IRB's business model and Indian and global accounting guidelines, the experts have recommended the accounting treatment. This treatment was considered and approved by the Audit Committee and Board after detailed deliberations.

Accordingly, the Company has introduced a new segment 'InvIT and related assets' and reported the segment results in accordance with IndAS 108. As you are aware of that more than 85% of IRB's enterprise value is attributable to its asset business. Notably, the Private InvIT has an enterprise value of approximately Rs. 60,000 crores in which IRB holds 51% stake. Now with adoption of new measurement approach, the investments in Private InvIT will reflect the inherent value of these investments on an ongoing basis.

I will now take you through the financial analysis - Q3 FY 25 v/s Q3 FY 24.

The total consolidated income for Q3 FY25 has increased to Rs.2,090 crores from Rs.2,077 crores, registering a growth of 1%. The income from BOT segment for Q3 FY25 has increased to Rs.648 crores from Rs.616 crores for

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Q3FY24, registering a growth of 5%. The income from InvIT and related asset segment for Q3 FY25 has increased to Rs.245 crores from Rs.67 crores in Q3FY24, registering a growth of 267%. The income from construction segment for Q3 FY25 has decreased to Rs.1,133 crores from Rs.1,353 crores, down by 16%. The other income for Q3 FY25 has increased to Rs. 64 crores from Rs.42 crores in Q3FY24, an increase by 52%.

EBITDA for Q3 FY25 increased to Rs. 1049 crores from Rs.978 crores in Q3FY24, registering a growth of 7%.

Interest cost has increased to Rs. 461 crores in Q3FY25 as against Rs.433 crores, an increase by 7%.

Depreciation and amortization expense increased to Rs.265 crores in Q3 FY25 from Rs.251 crores in Q3FY24, an increase by 5%.

PBT has increased to Rs.323 crores in Q3 FY25 from Rs. 294 crores, an increase by 10%.

PAT (before exceptional gain and post JV losses) has increased to Rs. 222 crores in Q3 FY25 from a profit of Rs. 187 crores (JV loss for Q3 FY24 of Rs. 51 crores) in Q3 FY24, an increase by 18%.

Now I request the moderator to open the session for question and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session.

Anyone who wishes to ask a question may press "*" and "1" on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Alok Deora from Motilal Oswal Financial Services. Please go ahead.

Alok Deora:

So just a couple of questions. First is on the order inflow. So, if you could just highlight what is happening on the NHA side because the order inflow has been poor YTD. Although it has picked up in the Q3 quarter but still on the overall basis it seems weak and now we are just left with two months. So, if

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you could just highlight on the total order inflow as well as what kind of projects are expected because even toll projects have not really come by.

Management : As you know the year opened for us with the two TOTs that we had backed starting from 1st April and as all of us are aware due to the elections getting conducted the ordering and the overall activity has slackened. But we see positive momentum coming back. Few of the TOT and BOT bids have already happened and we see a good traction over the next 2 months as far as TOT and BOT space is concerned. We are fully geared up to participate in these upcoming opportunities and we will be working very closely on these opportunities to see what best we can get in for the company's prospects.

Alok Deora: Sure. So, based on what has happened I am sure it has been below our expectation also that last time when we spoke in the earning call post that also 2 months nothing has really materialized in a concrete way. So, have we trimmed down our expectations for the remaining 2 months because this is when most of the ordering was expected in the last 4 months and two months have already gone by.

Management : So, Alok on a lighter version, India has won many matches on the last over. We have not revised our target as yet. We stay tuned with the same target number even now.

Alok Deora: Absolutely and after this reclassification exercise which we have done, so now the recurring number will be the gain from InvIT and everything will be counted in the revenue part. So, the classification would look like this only, right? How it is given in the P&L and just at the 58 billion of one time this thing will go away from next quarter onwards.

Management: Yes, Alok. You are correct. This will be a recurring in nature.

Alok Deora: Sure. Just one last question. Why is this gain included in revenue? I mean isn't it part of the non-operating or the non-core revenue? Because then it actually does not give a true picture of the core revenue, right? Because this is coming from the InvIT operations so.

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Management: Alok, as you're aware, InvIT investments typically operate on a Net Distributable Cash Flow (NDCF) basis, where cash flows generated are distributed to unit holders.

Given the long life of these assets, their value will appreciate as revenue and cash surplus increase. In fact, in the analyst models, which use Discounted Cash Flow (DCF) analysis, demonstrate this appreciation in value and corresponding target price increase as you roll forward the projections.

We've already offered 5 assets to the Public InvIT and are in the process of realizing value. This will be an ongoing, recurring process, and we believe it should be treated as regular income, in line with accounting standards and norms.

Management: Alok, to add to that, IRB's strategy has shifted, with bidding now happening at the Trust level. For IRB, this represents a regular investment opportunity, where we'll deploy capital against our stake. This makes it a major operational segment, as all future bids will be made at the Private InvIT level.

Regarding your question on Fair Value Through Profit and Loss (FVTPL) versus Other Comprehensive Income (OCI), the key point is that toll revenues are reflected at the Private InvIT level, providing investors with visibility into the portfolio's performance. However, due to the joint control mechanism in the Private InvIT, the cash flows generated aren't reflected in IRB's balance sheet, despite our 51% ownership. This creates an incomplete picture for investors.

ors.

Therefore, these fair value changes are recognized through the Profit and Loss (P&L) statement.

Moderator: Thank you. Before we take the next question, a reminder to all the participants that you may press "*" and "1" to ask a question. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Yes, sir. Thanks for the opportunity. Two questions from me. First, in the P&L, in the revenue when we have booked a dividend, interest income from InvIT of Rs. 167 million, how does this differ from the PPT where we have

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mentioned distribution of Rs. 540 odd million? Are they the same thing or are

they different?

Management: So, Rs. 167 million is the distribution which includes the distribution from Private InvIT and Public InvIT.

Vishal Periwal: Okay. No, but quarter 3 in the PPT mentioned 540 odd million. So, roughly like 51% of it will be almost like Rs. 27-28 odd crore vis-vis the Rs. 16-17 crore that we have booked.

Management: Vishal, to clarify, under the revised accounting standard, dividends or distributions from the InvIT are recognized only on a receipt basis. Therefore, any distributions declared in Q3 will be accounted for in the subsequent quarter. The distribution reflected in our current numbers pertains to the previous quarter. Further, Rs.540 million declared by Private InvIT in current quarter also includes the repayment of capital which will not form part of Profit and loss statement.

Vishal Periwal: Okay. Got it and then second is on this the treatment of the investment that we have done for the InvIT, according to you how this will have an impact on ROEs, and I think margins may be largely same EBITDA margin, but ROEs will this have a positive impact? Is that fair to understand?

Management: Indeed, the impact will be positive on our Return on Equity (ROE). However, our business is typically evaluated on different metrics. Given that 80 -85% of our value is derived from our assets, investors often use Discounted Cash Flow (DCF) analysis for the asset side and apply multiples for the EPC business. As a result, our business valuation is not heavily reliant on ROE. Nonetheless, you're correct that our ROE will show improvement.

Vishal Periwal: Okay. Sure, sir. That's all from my side, sir. Thank you very much, sir.

Moderator: Thank you. Ladies and gentlemen, you may press "*" and "1" to ask a question. The next question is from the line of Parikshit Kandpal from HD FC Securities. Please go ahead.

Parikshit Kandpal: My question is on the monetization part which we are taking from Private to Public. So, are we now in a position where this will become a more regular

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phenomenon because for these 5 assets whatever time it takes, I think you have given a timeline of first half of FY26. So, you think that on a periodic basis each financial year from here on you can see more assets coming and getting monetized to this route?

Management: So, Parikshit, this is a more strategic thought process that we've adopted. You're right that this will be an ongoing phenomenon, given the way we've built our business and created the structure of Private InvIT as a development platform, alongside owning Public InvIT, which primarily houses mature assets.

I think this combination is a perfect fit, where value unlocking occurs based on the project's risk allocation. At the IRB end, we capture executional risk and reap benefits from construction and O&M margins. We also end up owning investments in both platforms, which will now reflect the treatment we discussed earlier.

Value unlocking will continue to happen, where mature assets can be offered to Public InvIT, providing fresh growth opportunities. This, in turn, unlocks capital for Private InvIT, enabling faster deployment for new assets.

Going forward, the government of India's focus is

likely to be on asset

monetization, presenting a huge opportunity for the sector. We intend to maintain our leadership position and undertake a large number of assets.

This unlocking will enable us to catapult into faster growth of our asset base without accumulating excessive debt. Instead, we'll efficiently utilize unlocked capital and distribute risk across the portfolio.

Parikshit Kandpal: So, what kind of annual inflows or monetization potential do you think near to mid-term can it generate for you which can come in as a growth capital for assets?

Management: So, let's consider it this way: the first tranche of assets already offered to Public InvIT has an enterprise value of approximately Rs. 15,000 crores. If we net out the debt of around Rs. 6,500-7,000 crores, we're looking at significant equity unlocking that will accrue to Private InvIT.

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Let's do a simple calculation: if Rs. 8,000 crores -plus of equity unlocking occurs at the Private InvIT end, where IRB owns 51%, this equity capital can

then be deployed for another Rs. 25,000 crores worth of projects that Private InvIT can develop. This will create significant capacity for IRB to participate in upcoming opportunities. Note that I'm only discussing the first tranche here. Remember that the total enterprise value of Private InvIT today exceeds Rs. 60,000 crores.

Parikshit Kandpal: So, you are saying the debt on this Rs.15000 crores is about Rs. 115000. So, you have...

Management: No, I said the debt is around Rs.6500 to Rs. 7000 crores .

Parikshit Kandpal: Rs. 7,000 crores . Okay, sorry.

Management: Yes. Out of the Rs.15000 crore EV, the debt is around Rs.6500 cr to Rs.7,000 cr and balance is equity unblocking that will happen.

Parikshit Kandpal: Oh, Rs. 8,000 crore . But looking at the current market cap of Public InvIT , so do you think there is appetite , and I mean that kind of resources. So, how do you intend to do this?

Management: So, naturally Public InvIT is right now in the grip of things and certainly if that fund has to grow, it has certain amount of leg room on the debt side and the balance capital also can be looked upon by the Public InvIT to acquire assets because for any such platform to grow, if we look across any other InvIT , they have significantly grown by adding a mix of capital and debt and I think that is the way forward that even Public InvIT will involve itself on.

Parikshit Kandpal: Okay. And will the sponsor get diluted here on the Public InvIT side because you as a sponsor, I mean will you be?

Management: No, I think we stand committed to supporting the Public InvIT platform, which we very much believe in, and we intend to subscribe in case of a capital raise as a sponsor.

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Parikshit Kandpal: And the intent on right current IRRs which Public InvIT is giving and when you bring in assets, it must be at a positive IRR. So, how are your thoughts there? I mean what could be the numbers look like?

Management: I think it will not be very fair on my part to talk on behalf of the Public InvIT , but the simple math suggests that with long dated assets getting added to the Public InvIT platform, the overall yield is expected to grow.

Parikshit Kandpal: Okay and sir, on the BOT side, we have been hearing the bid getting postponed, I mean I think multiple times that has happened like Gwalior and other bids.

So, when do you think, I mean why it is happening, and do you really think that, this year you will see the daylight at the end of the tunnel in terms of bids happening? As I hear that these are large bids like Rs. 4000, 7000 crores in that ballpark size. So, do you think that they will see the light of day?

Management: So, I think you have answered the question yourself that these are large size bids and they are serious numbers. So, you will appreciate that , the sector here has consolidated and serious p

layers who are looking at bidding on these large ventures and I think I would like to appreciate NH AI here that rather than rushing through on bidding half-cooked project, they are keen to answer all the queries that are being put across to them in a very, very scientific manner. Yes, that is taking time, but I think that it will avoid a lot of accidents in future with all these bids getting properly evaluated and bid upon. So, while the anxiety level can be understood that it is getting delayed, I am actually happier that, a more thought through approach is being adopted, all right reasons are being provided to the bidding community and post that the bid is taking place. So, any freak bid or any accident happening, ending up in the project, getting stuck at a later stage can be avoided by this kind of a studied approach and I would like to appreciate the effort of NH AI here.

Moderator: Thank you. A reminder to all the participants that you may press "*" and "1" to ask a question. Ladies and gentlemen, you may press "*" and "1" to ask a question. A reminder to all the participants that you may press "*" and "1" to ask a question. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

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Management: Yeah, I think everybody is equally keen to go back to the TV screens and watch what the budget has to offer. So, I would not like to take the time of all the community that we have here and thank you everyone for taking time out and coming for this call on a Saturday morning and look forward to engage with you again soon over the next quarter. Thank you everyone and have a great

weekend.

Management: Thank you, Sir. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation. You may please disconnect your lines now. Thank you and have a great day ahead.

Call: May 2025

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Call: Aug 2025

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IRB Infrastructure Developers Limited

Q1 FY26 Earnings Conference Call

August 14 , 2025

Moderator: Good evening, ladies and gentlemen. Welcome to IRB Infrastructure Developers Limited Conference Call for discussing the financial results for the quarter ended June 30, 2025, along with the recent developments. We have with us on the call today, Mr. Virendra Mhaikar; Mr. S.S. Rana; Mr. Anil Yadav; Mr. Mehul Patel; Ms. Poonam Nishal; and Mr. Tushar Kawedia.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

Please note that the duration for the call would be 45 minutes, and any queries left unanswered after the call can be subsequently mailed to the management for adequate response and resolution. Please note that this conference is being recorded.

I now request Mr. Yadav to give you an overview of the significant developments during the quarter. Thank you, and over to you, sir.

Anil Yadav: Good evening, everyone. I welcome all investors and analysts to our earnings call for Q1 results of Financial Year 2025-26. I trust you have reviewed our detailed numbers and presentation. I will briefly highlight the key points for the quarter.

Private InvIT per-day toll collection rose to ₹11.26 crore, compared to ₹10.25 crore per day in Q1 FY25, registering a 10% growth, driven by traffic growth and revision in tariff.

Private InvIT + IRB per-day toll collection increased to ₹18.46 crore, up from ₹17.09 crore per day in Q1 FY25, reflecting an 8% growth, supported by traffic growth and tariff revisions.

Private InvIT declared a distribution of approximately ₹52 crore, contributing proportionately to IRB's cash flow in proportion to its 51% holding.

Page 2 of 4 Public InvIT unitholders have approved the acquisition of 100% equity share capital of three SPVs — Kishangarh Gulabpura , Kaithal Tollway , and Hapur Moradabad — from the Private InvIT (IRB Infrastructure Trust) for an enterprise value of ~₹8,450 crore, with overwhelming majority support. This transaction is expected to release ₹4,905 crore in cash. Applying the standard 70:30 debt-to-equity funding model, this equity release enhances our financial capacity to bid for new projects valued at approximately ₹15,000 crore. This asset's rotation will raise the Sponsor's O&M order book by approximately ₹3,100 crore, taking the total O&M order book to approximately ₹33,600 crore post-acquisition.

The Palsit Dankuni BOT project (NH19, West Bengal) has received COD for 61.3 km out of the total 63.83 km length for the 4-to-6 laning work. Consequently, toll rates will increase by ~47%, and the SPV will collect toll at these revised rates. Based on Q1 FY25 trends, this is expected to boost annual toll collections by approximately ₹100 crore. As of now, our total order book stands at approximately ₹30,000 crore, including an EPC order book of approximately ₹2,100 crore. The next two years executable order book, including EPC and O&M, is close to ₹4,300 crore.

The company has declared an interim dividend of 7%, amounting to approximately ₹ 43 crores in line with our dividend policy.

Now I will request Tushar to cover the financial highlights for Q1 of FY26. Over to you, Tushar.

Tushar Kawedia: Yes. Thank you, sir. I will take you through the financial analysis for Q1 FY26 versus Q1FY25.

The total consolidated income for Q1 FY26 has increased to ₹ 2,165 crores from ₹ 1,972 crores for Q1FY25, up by 10%.

The income from InvIT and related assets segment for Q1FY26 has increased to ₹ 233 crores from ₹ 80 crores for Q1FY25, increased by 191%.

The income from BOT segment for Q1 FY26 have increased to ₹ 646 crores from ₹ 614 crores for Q1FY25, registering a growth of 5%.

The income from construction segment for Q1FY26 has decreased to ₹ 1,220 crores from ₹ 1,239 crores for Q1FY25, down by 2%.

Page 3 of 4 EBITDA for Q1 FY26 increased to ₹ 1,018 crores from ₹ 976 crores for Q1FY25, up by 4%.

Interest cost increased to ₹ 462 crores in Q1FY26 from ₹ 439 crores in Q1FY25, increased by 5%.

Depreciation cost has increased to ₹ 269 crores in Q1FY26 from ₹ 255 crores in Q1FY25, increased by 6%.

PBT has increased to ₹ 286 crores in Q1FY26 from ₹ 282 crores, an increase of 2%.

PAT has increased to ₹ 202 crores in Q1FY26 from ₹ 140 crores, an increase of 45%.

Now I request moderator to open the session for question and answers.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Just had a couple of questions. First is on the construction segment. So, the margins have come down even if we look at Q -o-Q or even Y -o-Y, the adjusted margin due to some regrouping of last year. So, just any thoughts here? How do we see these margins coming in subsequent quarters now? And is it like the new normal margin or could it improve from here?

Management : Yes. So, Alok, for this quarter, we have seen a dip in the construction margin mainly due to certain construction -related revenue from the COS and utility shifting work, which was close to ₹150 crores for the quarter. This was a major reason for the dip in construction margin, as these works carry lower margins. The second reason is that a few projects are nearing completion, which has also led to some reduction in margins. Overall, what we see from here is that margins should remain in a similar range, and as and when we add new assets, we will update you on the revised margins going forward.

Alok Deora: Sure. Just for the understanding, we have few of the projects near completion. So, typically, in some of the other names, actually, we have seen margins improving for that particular period because the companies tend to book a little conservative margin. And once the completion is near, they are more clear about actual margin profile. So, then the margin

sees a temporary increase. So, just if you could indicate on that?

Page 4 of 4 Management : I think, Alok, there are two key points . First, the COS and utility works, which carry hardly any margin, impacted the overall margins this quarter. Second, as projects get completed, the mix is also changing — typically, BOT projects have slightly higher margins, whereas HAM projects have lower margins. We have just completed Palsit –Dankuni, which was a BOT project, and the Ganga project is also on the verge of completion. As a result, the proportion of HAM execution will increase, and margins are expected to remain in the range of 18% to 20%.

Additionally, on your specific question - based on accounting standards, margins must be provided in line with the percentage -of-completion method. So, the company has no flexibility in deciding how much margin to book upfront and how much later. Overall, margins remain broadly in line with expectations given the change in project mix .

Alok Deora: Got it. Just one last question. So, can you provide some details on the ordering and tender pipeline, because till date, only 180 -odd kilometers have been awarded by NHAI. We understand that this is 7 -8 months is very low awarding time at the industry level. But just some tender pipeline has always been there, but what we are seeing at the ground, if you can just highlight on that?

Management : Yes. So, I think in terms of tenders, as you rightly mentioned, the government has been providing various deadlines for bidding, but many of these have been

getting extended. We did see a few BOT projects awarded till Q4 of FY 25, and there are some BOT and TOT projects lined up for bidding in the coming months. So, we expect a few opportunities to materialize. However, as you rightly pointed out, the overall award activity remains quite low. While the government has identified opportunities, the awarding momentum has not yet picked.

Moderator : Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Management : I thank all the investors and analysts for joining this call, and we look forward to interacting with you again in our next quarterly concall. Thank you very much.

Moderator : Thank you, sir. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and using Researchbytes Conferencing Services. You may please disconnect your lines now. Thank you and have a great evening ahead.

Call: Nov 2025

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Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

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